

future the income tax brackets are going to be much higher, so they would rather just pay taxes now, considering they do not know how much they might be taxed later. I personally prefer Roth because when I look at my retirement account, I know exactly how much money I have, and I don't need to worry about any taxes coming out of it in the future.

Individual Retirement Account (IRA)

Another option for retirement savings is an **individual retirement account (IRA)**. An IRA functions like a 401(k) except that because it is not sponsored by an employer,⁵² there is no match, and the contribution limits are lower. As of 2020, an individual with "single filer" tax status can contribute up to \$6,000 per year to an IRA. You still get the same tax benefits as a 401(k), and similarly, you can choose between a traditional IRA or a Roth IRA. The difference between traditional and Roth IRAs also works the same way: your contributions to a Roth IRA are taxed before you invest, so you will not be taxed upon withdrawal.

IRA accounts are also attractive because you have a lot more investment options. For instance, a 401(k) offered by your employer will typically be sponsored by one retirement company, like John Hancock Retirement. This means you would only be able to invest your money into John Hancock's funds and offerings. On the other hand, with an IRA, you are free to choose whichever company you would like to manage your account.

52 There are employer-sponsored IRAs, but they are quite rare. In such a program, the employer just makes contributions to an IRA for employees.